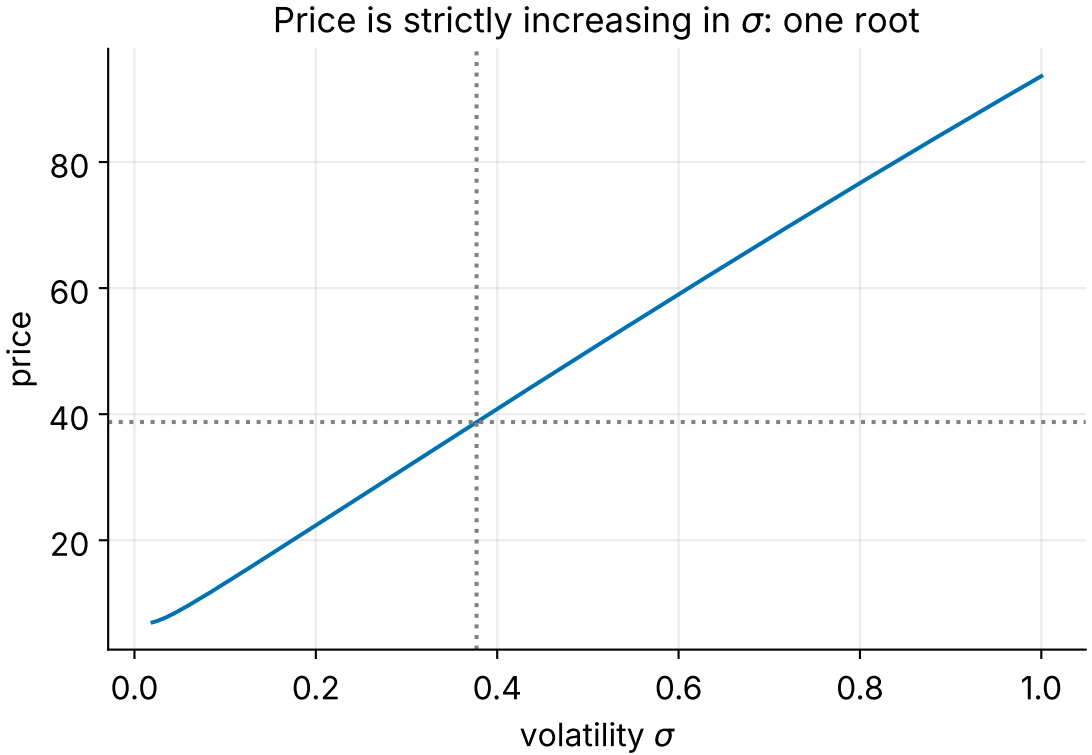
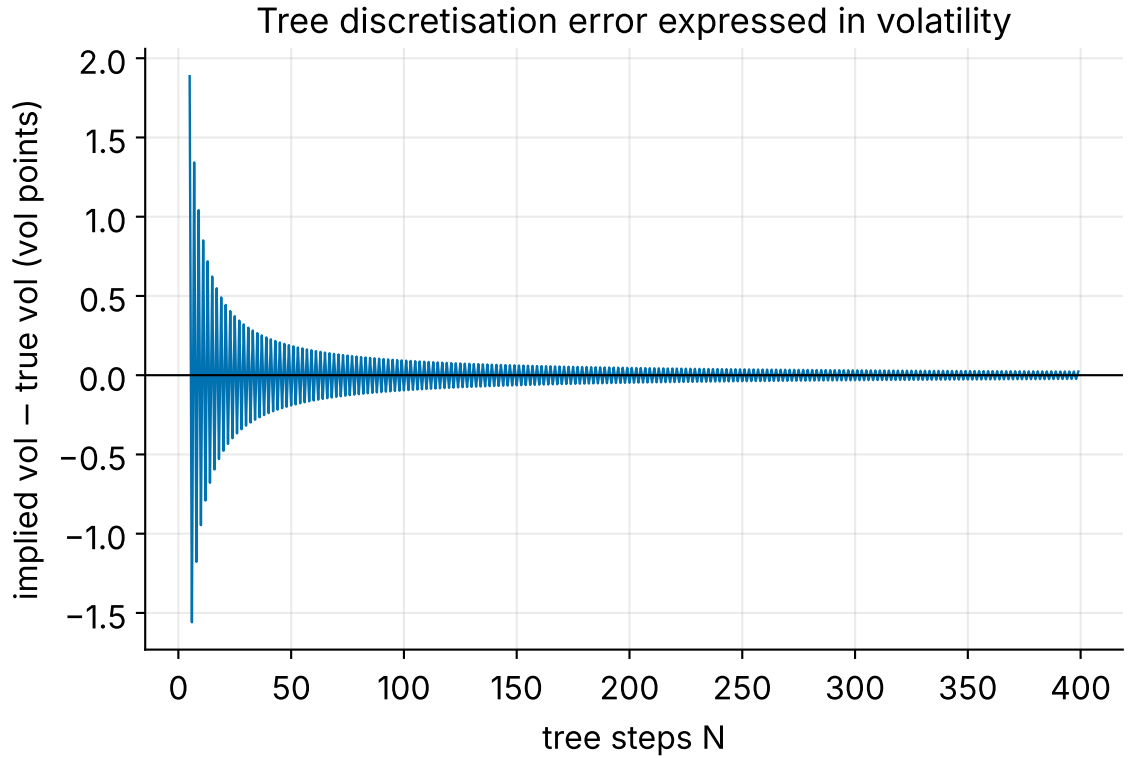

Price is strictly increasing in σ: one root
price
volatility σ
80
60
40
20
0.0
0.2
0.4
0.6
0.8
1.0


Tree discretisation error expressed in volatility
implied vol − true vol (vol points)
tree steps N
2.0
1.5
1.0
0.5
0.0
−0.5
−1.0
−1.5
0
50
100
150
200
250
300
350
400